If 2000 was bad, the following year was worse. The company reported a loss of Rs 500 crore after taxes, the highest in corporate history at that time. Its performance was adversely affected by the contracting economy. TELCO had a huge stock pile-up and all efforts were made to push the inventory to the dealers. The situation was dire, says Prakash Telang.

Leading newspapers echoed the same opinion. In an editorial titled ‘Can TELCO do a TISCO?’, a business newspaper opined that though the company’s performance was adversely affected by the economic slowdown, not many ‘proactive steps [were] taken by the company’, and that there was a need to become ‘globally competitive … [which] TELCO has not’. In contrast, TISCO had restructured faster and had made a ‘dramatic turnaround’, it said.

The loss shook the enterprise as much as it did the shareholders. The AGM in 2001 became a tumultuous affair. Many shareholders vented their deep angst at the poor performance and questioned the management for plunging the enterprise into the red.

For the first time, Ratan was defensive as he faced the shareholders. He said that the automobile sector had become ‘one of the most volatile cyclic industries in recent times’. The ‘prolonged economic downturn’ had caused a depression in demand. Further, the Indian car market had ‘eight major global car companies’ competing for space. Through cost cutting, including the reduction of 3,800 employees, and other steps that he embraced, Ratan hoped the company would do well in the future and requested for the ‘understanding’ and ‘support’ of shareholders in the ‘difficult time’.

But neither the justification nor the reasoning pacified the agitated shareholders. Ratan’s speech was interrupted by several sharp interventions. That made him very ‘emotional and upset’. He took the entire responsibility for the poor performance and offered to resign, says Kadle, who was present during the meeting. That came as a bolt from the blue and it silenced the vocal critics. Virtually all the shareholders came back, took the mike and implored Ratan not to step down, many telling him, ‘Only you can save TELCO.’

Defying the Odds

The 2001 AGM drove home the need for immediate remedial action on the part of the company. Ratan and the senior management got to work and